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Morning Note
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Tone: Risk-On / Relief

Democrats took both chambers of Congress overnight, and after a violent first reaction the market has decided it can live with gridlock. Nasdaq 100 futures fell as much as 2.4% and S&P futures as much as 1.4% as the results came in, with traders reading a Democratic Senate as a risk of tighter AI regulation, and Texas and Georgia, two key data center states, among the places Democrats gained ground. By 5:25 AM ET the move had fully reversed: S&P futures +0.90%, Nasdaq 100 futures +0.89%, Dow futures +1.28%. AMD did the heavy lifting, up about 7% pre-market after Q3 revenue of $13.4 billion beat the $13.1 billion estimate and data center sales rose 97%. The cleaner signal is in macro: the 10Y is 3bp lower at 4.92%, the dollar index is at a one month low near 101.50 and gold is back above $4,000, up 2.2% in futures. That is the market pricing a fiscal brake: less room for tax cuts and new spending. The Fed has not moved with it, with December hike odds still near 78%. ADP at 8:15 AM ET, the Treasury refunding at 8:30 AM ET and ISM Services at 10:00 AM ET now get to test that split.

OVERNIGHT MACRO

- **Asia:** Whipsaw on the U.S. vote count. Nikkei -1.42% to 62,188.63, well off an intraday low of 60,030.10 (-4.8%); SoftBank -3.2%, Kioxia -5.4%. Kospi recovered from a 4% drop to close +0.62% at 5,683.80. China rallied: Shanghai Composite +2.16% to 3,686.17, Shenzhen Component +3.15%, Hang Seng +1.67%. ASX 200 -0.6% to 8,834.50 a day after the RBA hike; Taiex -0.8%.
- **Europe:** Stoxx 600 +0.5% by 3:16 AM ET after futures fell as much as 1.4% earlier, with DAX and CAC also higher and Italy's FTSE MIB +1.2%. Banks +2%. Renewables jumped on the Democratic sweep: Orsted +7%, Vestas +5%, Nordex +4.7%. Novo Nordisk +4.6% after beating on Q3 operating profit and raising full year guidance.
- **FX:** Dollar index down to about 101.50 from a 101.89 close, a one month low. EUR/USD +0.4% to 1.1231 and USD/JPY -0.4% to 158.12. Sterling +0.5% to $1.348.
- **Commodities:** Brent -0.4% to $103.17 and WTI -0.3% to $95.83, with Iran talks still unresolved after Monday's limited U.S. strikes on Qeshm Island. API showed a 5.27 million barrel crude draw vs an expected 2.1 million build. December gold futures +2.2% to $4,027.30 and silver +4.2% to $51.67 as the dollar slid.
- **U.S. Futures:** S&P futures +0.90%, Nasdaq 100 futures +0.89% and Dow futures +1.28% as of 5:25 AM ET. AMD +7% pre-market and Super Micro +6%; Trump Media -7%, SpaceX down more than 4%. Tuesday close: S&P 500 +0.36% to 7,568.92, Nasdaq 100 +0.68% to 28,180.26, Dow -0.38% to 51,786.72.

RATES & CREDIT SNAPSHOT

Instrument	Level	Move	Note
2Y Treasury	4.59%	+3bp	Monday close (FRED). Early trade near 4.55%, about 6bp lower.
10Y Treasury	4.91%	-3bp	Monday close (FRED). Rose Tuesday; 4.92% this morning is 3bp lower on the day, after a 4.89% low.
30Y Treasury	5.28%	-3bp	Monday close (FRED). Down 35bp over the past month.
2s10s	34bp	+2bp	Latest FRED print.
10Y Breakeven	2.30%	+1bp	Latest FRED print. Oil holding near $103 Brent keeps it anchored.

Bonds are the cleanest winner of the night. A split between the White House and a Democratic Congress lowers the odds of further tax cuts or new spending, and the long end has rallied on that: the 10Y traded down to 4.89% overnight and the 2Y about 6bp lower near 4.55% in early trade. That extends a month in which the 10Y has fallen 37bp and the 30Y 35bp. The tension is the front end of the policy path: futures still price a December hike at close to 78%, so the curve is being pulled lower by fiscal expectations while the Fed is still leaning hawkish. The quarterly refunding at 8:30 AM ET is the near term supply check, with

some expecting cuts to 20 year auctions and changes to 30 year sizes. MOVE at 99.97 versus a VIX of 20.83.

Meeting	Current Range	Market-Implied	Note
FOMC, Dec 8 to 9	3.75 to 4.00%	About 78% hike	CME FedWatch per CNBC on Nov 4, up from about 75% Tuesday. Oct 28 hold was 10 to 2, with Cook and Hammack voting to hike.

Credit: IG OAS at 94bp, unchanged, and HY OAS at 343bp, -1bp (Monday close, FRED). Spreads are 9bp and 33bp wider than a month ago on the AI funding wave, and a lower Treasury yield path does nothing to shrink the pipeline of Big Tech issuance.

COMMODITIES & SECTOR TABLES

Commodity	Level	Chg	Note
Brent Crude	$104.18/bbl	-0.6%	Tuesday close; $103.17 this morning, -0.4%
WTI Crude	$96.64/bbl	+0.2%	Tuesday close; $95.83 this morning, -0.3%
Gold	$3,945.50/oz	-0.6%	Tuesday close; Dec futures $4,027.30 this morning, +2.2%
Copper	$6.41/lb	-2.1%	Fell with materials Tuesday
Nat Gas	$2.90/MMBtu	+1.4%	Up 7.4% over the past week

Tuesday was a reversal of Monday's rotation: XLK +1.31% and XLC +1.18% led while defensives were hit, with Staples -2.07% and Materials -2.01%. Energy -0.85% and Financials -0.64% also lagged, and the Dow fell 0.38% even as the Nasdaq 100 rose 0.68%. Overnight, earnings are carrying the AI complex through the regulation scare: AMD, Arista and Super Micro are all higher, while election losers are concentrated in Trump linked names.

Sector / Name	Chg	Read
AMD (pre-market)	+7%	Q3 beat; DC sales +97%; Q4 guide about $17bn
Arista (after hours)	+9.5%	Q3 revenue $3.66bn, +58.5%; Q4 guide $3.9 to 4.0bn
Super Micro (pre-market)	+6%	Revenue $19.9bn vs $5bn a year ago
Technology (XLK)	+1.31%	Led Tuesday's tape
Cons. Staples (XLP)	-2.07%	Worst sector Tuesday
Trump Media (pre-market)	-7%	Midterm loser
Palantir (pre-market)	-2.3%	Lower despite Q3 beat

EQUITY SETUP

Futures have gone from a 2.4% Nasdaq 100 drawdown to a near 0.9% gain in a few hours, which says the first read on a Democratic Congress, AI regulation, was overdone and the second read, gridlock plus lower yields, is the one sticking. AMD's beat and its Q4 guide of about $17 billion give semis an earnings anchor, and the VIX at 20.83 has room to compress if the open holds. The risk is that the rally is concentrated: Trump linked names and SpaceX are lower and Big Tech traded lower on Tradegate overnight before the turn.

The macro test comes fast. ADP is seen at 70,000 versus 90,000 prior at 8:15 AM ET, the refunding hits at 8:30 AM ET and ISM Services is expected at 54.7 versus 54.9 at 10:00 AM ET. A firm services print keeps the December hike near 78% and caps how far the yield rally can run. After the close, Qualcomm, Arm and AppLovin are the next AI reads, into Friday's payrolls.

ONE THEME

A fiscal brake meets a Fed that still wants to hike. The overnight move is a policy mix story. A Democratic House and Senate facing a Republican White House lowers the odds of further tax cuts and new spending, and markets have priced exactly that: the 10Y down to 4.92%, the dollar index at a one month low near 101.50 and gold back above $4,000. TD Securities called bonds the clear winner. But the Fed is moving the other way, with futures still pricing close to a 78% chance of a December hike after a 10 to 2 hold in October with two dissents for tightening. Tighter fiscal plus tighter monetary policy is a growth negative, which is why the dollar is falling rather than rising on lower political risk. Over the next five weeks, payrolls Friday and CPI on Nov 10 decide which side gives: if data cools, the hike odds fall toward the fiscal story; if not, the long end has rallied ahead of the Fed.

EVENTS TO WATCH

- **8:15 AM ET ADP Employment (Oct):** Consensus 70,000 vs 90,000 prior.
- **8:30 AM ET Treasury Quarterly Refunding:** Watch for cuts to 20 year auctions and changes to 30 year sizes. September trade balance also due.
- **10:00 AM ET ISM Services (Oct):** Consensus 54.7 vs 54.9 prior; employment seen at 50.0 vs 50.1.
- **10:30 AM ET EIA Crude Inventories:** After API's 5.27 million barrel draw.
- **Before the open:** CVS (EPS est. $1.65), Uber ($0.86), McDonald's ($3.38), Datadog, Kraft Heinz, Emerson, Cencora.
- **After the close:** Qualcomm (EPS est. $2.16, revenue $10.12bn), Arm ($0.47), AppLovin ($4.03), MercadoLibre, McKesson, Snap, Coherent.
- **Rest of week:** Hammack and Barkin speak Thursday; Logan, Williams and Musalem Friday, with Bowman at 12:15 PM ET. October payrolls Friday at 8:30 AM ET, consensus 55,000 to 65,000 with unemployment at 4.2%. CPI Nov 10.
- **Key risks:** A hot ISM or payrolls print pushes December hike odds above 80% and reverses the long end rally. AI regulation headlines from the new Congress. Iran talks stalling would pull oil off Tuesday's near four week low.